

The Signal Needs a Falsifier

Two indices closed under the floors of ranges the model still calls bullish. Decide before the open what would settle that.

THE READING

The S&P 500 settled Thursday at 7,641.16, down 0.87 per cent, and 10.84 points below the 7,652 floor of Hedgeye's immediate-term range. The Nasdaq Composite closed 35.83 points under its own floor. The Russell 2000 sits 2.43 points above its. All three still carry a bullish TREND label.

The Dow fell 703.84 points and closed 4.31 points off the low; the S&P closed 2.15 points off its own. Volume was heavy, 1.40m ES contracts against a 1.12m ten-day average. The thirty-year yield returned to 5.250 per cent and the ten-year to 4.708 per cent, handing back all of Wednesday's buyback relief. Credit did not move: HYG fell 0.19 per cent and finished mid-band. At 16.02 the VIX is not fear either. What is on the tape is a disagreement between the price and the label.

WHAT WISDOM WOULD SAY

Karl Popper argued in *Conjectures and Refutations* that what makes a claim serious is not what it explains but what it forbids. A theory compatible with every possible observation tells you nothing.

He was writing about science, and the transfer is imperfect: a risk range is a measurement, not a hypothesis. The failure mode carries across anyway. A bullish trend that survives a close beneath its own floor has stopped forbidding anything. It will accommodate the next down day too, and the one after, and by the time it is abandoned the abandonment will be a description of what already happened rather than a decision that was made.

The remedy is cheap and available before the open. State in advance the observation that would count against you. Not the feeling of having been wrong, which arrives late and is never in dispute, but an event with a number attached. If no such number can be named, the position is not being held on a view. It is being held on inertia wearing a view's clothes.

THE RISK IT JUSTIFIES

Nothing here argues for selling. One close 10.84 points under a floor, with credit unmoved, is not a break. What it argues against is adding. There is no reward on offer for buying a below-floor close four days before Nvidia reports and six before the Jackson Hole keynote. Sit still, and spend the morning writing the falsifier down instead.

The candidate is not the index. It is credit. HYG at 79.56 sat mid-band while equity fell four times as far, and that calm is what currently supports the bullish reading. A close below 79.35 gives the equity floors company and changes the answer. So would a VIX close above the 16.19 band ceiling. Absent either, a second below-floor close is noise from a market waiting on two events. Put both numbers on paper this morning, while they are still inconvenient to no one.

What number, printed today, would change your mind — and did you know it before the open?